

3.6
MILLION
WOMEN INVOLVED IN GUJARAT'S DAIRY SECTOR, DOING BUSINESS WORTH ₹**60,000 CR.** YEARLY

1,732
MICRO ATMs
DEPLOYED IN PANCHMAHAL, BANASKANTHA DISTRICTS, TAKING BANKING TO THE DOORSTEP

power them. When the bank cheques arrive in their names, they will be very happy," he said at an event here.

Micro ATMs in villages ensure that farmers do not have to travel 5-15 km for banking activities, which means they save time and travel costs, withdraw lesser amounts on a need-to basis, and end up saving more. "Most importantly, due to the travel involved, banking was almost exclusively done by the menfolk. Micro ATMs are available 24x7 at their doorstep and societies are not bound by conventional bank working hours. We have trained women farmers to carry out banking activities and they now contribute to the overall finances of the household. This is nothing short of a silent revolution," says B.K. Singhal, chief general manager, Nabard (National Bank for Agricultural and Rural Development).

THE PIN NUMBER

- **'Cooperation among Cooperatives' aims to bring all bank accounts of co-op societies to co-op banks**
- **It'll help co-op members, engage women, boost financial prudence via local access to micro ATMs**
- **But concerns over state playing financial overlord in villages, co-op leaders influencing voters**



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The 'Cooperation among Cooperatives' project has been operating as a pilot in Banaskantha and Panchmahal, covering five districts. Over the past year, bank accounts and deposits of dairy farmers who supply milk to the local dairies—Panchmahal District Cooperative Milk Producers Union Ltd (Panchamrut) and Banas Dairy, both associated with the Gujarat Cooperative Milk Marketing Federation (GCMMF)—have been moved to two DCCBs, the Panchmahal District Cooperative Bank and the Banaskantha Central District Cooperative Bank.

The project is anchored by Nabard, which provided financial support of Rs 3.7 crore for the deployment of 1,732 micro ATMs, and helped hold 824 digital literacy camps, particularly for women members of milk societies and Primary Agricultural Credit Societies (PACS) in these districts. During the pilot project, 1,031 additional milk societies and 187,000 new milk producers were onboarded. Between January and October 2024, the DCCBs have opened 1.14 million new accounts while total deposits went up by Rs 4,491 crore. There have been 3.06 million more digital transactions through micro ATMs by the primary dairy co-op societies (PDCS) and the PACS; 87,000 new RuPay Kisan credit cards were also issued through the empowered PACS. In the past year, 5,754 PACS have been sanctioned for computerisation.

The palpable shift in the centre of financial activity also has political ramifications. The leadership at these cooperative societies is a multi-layered elected body, a model envisioned by the 'father of the milk revolution', the late Verghese Kurien, to keep out political representatives. Initially, the Congress started extending support and wooing the elected leaders of cooperative societies to endorse them politically. The politics of cooperatives completely shifted to the BJP after 2001; it now controls 95 per cent of the 81,307 cooperative societies in Gujarat. Panchamrut Dairy chairman Jetha Bharwad is the BJP legislator from Sehra in the district; the chairman of Banas Dairy, Shankar Chaudhary, is the Tharad MLA and speaker in the Gujarat assembly.

There is some criticism that this will allow the central ministry and the party in power access to almost every rural household's purse. The state could wield immense financial control in the villages and enhance the political heft of cooperative leaders. Amit Dholakia, head of the department of political science at MS University, Baroda, says there will be some impact in favour of the ruling party, but adds that it's still a good initiative as the synergy strengthens the cooperative bodies. His solution: a neutral regulatory body to monitor the activities of societies. "A robust and independent regulatory body will bring more discipline and accountability to these societies and also help them connect with each other better," he says. The underlying intricacies of the schemes, though, are not a concern for people like Divuben Charan, a dairy farmer from the Vavadi Khurd village in Panchmahal. The 30-year-old says the family is saving more, she has more to spend on their two children's education and, of late, even on herself. Divuben says she has invested in some jewellery, smiling shyly. ■